

action. (Aguilar v. Atlantic Richfield Co., supra, 25 Cal.4th at p. 850.) To meet this burden, the plaintiff must present substantial and admissible evidence creating a triable issue. (Sangster v. Paetkau (1998) 68 Cal.App.4th 151, 163.) Theoretical, imaginative, or speculative submissions are insufficient to stave off summary judgment. (Doe v. Salesian Society (2008) 159 Cal.App.4th 474, 481; Bushling v. Fremont Med. Center (2004) 117 Cal.App.4th 493, 510.)

Motion for summary judgment

Neach did not address Pacheco’s allegation that Neach concealed the nature of Neach’s prior relationship with Magnuson, which Pacheco alleged constituted a breach of Neach’s fiduciary duty and was also a basis for the second cause of action for fraud-concealment. (Cross-Complaint, ¶¶ 80 and 87.) Because Neach did not address this allegation in Pacheco’s cross-complaint, Neach did not meet his initial burden to show Pacheco’s first cause of action and second cause of action have no merit. (Hedayati v. Interinsurance Exchange of the Automobile Club (2021) 67 Cal.App.5th 833, 846 [“If the defendant does not address an issue in a motion for summary judgment that has been raised in the plaintiff’s complaint, it fails to meet its initial burden to show the plaintiff’s action has no merit.”]) Accordingly, for this reason and the reasons set forth below, Neach’s motion for summary judgment is denied.

Alternative motion for summary adjudication

Issue 1: Cross-Complainant’s First Cause of Action for Breach of Fiduciary Duty has no merit because it is barred by the applicable statute of limitations.

Although the CCP does not specify a statute of limitations for breach of fiduciary duty, when the

gravamen of the claim is based on fraud, CCP section 338, subdivision (d)'s three-year statute of limitations applies to a claim for breach of fiduciary duty. (Thomson v. Canyon (2011) 198 Cal.App.4th 594, 606–607.) The parties do not dispute Pacheco's first cause of action is governed by the 3-year statute of limitations in CCP section 338, subdivision (d).

A cause of action does not accrue “until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake.” (Code Civ. Proc., § 338, subd. (d).) A cause of action under the discovery rule accrues when a plaintiff has actual or inquiry notice. (Krolikowski v. San Diego City Employees' Retirement System (2018) 24 Cal.App.5th 537, 561; see Mangini v. Aerojet-General Corp. (1991) 230 Cal.App.3d 1125, 1149-1150 [“The limitations period begins once the plaintiff has notice or information of circumstances to put a reasonable person on inquiry...Subjective suspicion is not required. If a person becomes aware of facts which would make a reasonably prudent person suspicious, he or she has a duty to investigate further and is charged with knowledge of matters which would have been revealed by such an investigation.”].) “When inquiry notice applies, ‘if [a party] became aware of facts which would make a reasonably prudent person suspicious, [the party] had a duty to investigate further, and [is] charged with knowledge of matters which would have been revealed by such an investigation.’” (Krolikowski, 24 Cal.App.5th at 562.)

Neach did not meet his initial burden to show Pacheco's first cause of action for breach of fiduciary duty is barred by the 3-year statute of limitations. Pacheco alleges Neach breached his fiduciary duties by: (1) abusing alcohol while serving as managing director, licensed attorney,

and law firm partner; (2) convincing Pacheco to hire Magnuson without disclosing his prior relationship with Magnuson; and (3) misallocating the Law Firm's profits. (Cross-Complaint, ¶ 80.) Neach's separate statement did not show when Pacheco discovered Neach's prior relationship with Magnuson. (See, Neach Separate Statement.) The Golden Rule of Summary Adjudication requires all material facts be set forth in the separate statement – "if it is not set forth in the separate statement, it does not exist." (United Community Church v. Garcin (1991) 231 Cal.App.3d 327, 337.)

In addition, although Neach showed Pacheco was aware of Neach misplacing the check, that is only one instance in which Pacheco alleged Neach was intoxicated. (Neach Material Fact ["NMF"] No. 12; Cross-Complaint, ¶ 25.) The one incident would not put a reasonable partner on inquiry notice that Neach had a drinking problem. In addition, Neach's evidence in support of NMF number 12 expressly states he was not inebriated. (NMF No. 12; Neach Decl., ¶ 22.) No material fact in the separate statement shows when Pacheco discovered any other instance of Neach's intoxication affecting his ability to competently perform or stay awake. Neach's separate statement also did not show Pacheco was on inquiry notice of Neach allegedly improperly managing the Law Firm's finances from the moment Neach sent Pacheco a spreadsheet showing how compensation was calculated, or by the time an outside accountant was hired to perform the calculation. (NMF No. 5, 6, and 8.) Even if Icona, the outside accountant, was preparing the incentive compensation, Neach did not show Icona was allocating the expenses or saw how the Law Firm's expenses were allocated. Neach's spreadsheets did not show how expenses were allocated. (Neach Decl., Exhibit D.) In addition, Neach's declaration expressly states the

incentive compensation calculation “did not involve any kind of ‘allocation’ of expenses.” (Id., ¶ 7, 15, and 17; Duffey v. Tender Heart Home Care Agency, LLC (2019) 31 Cal.App.5th 232, 241, fn. 6 [noting that the moving party's evidence alone may establish a triable issue of fact].)

Because Neach did not meet his initial burden, the burden does not shift to Pacheco to raise a triable issue of material fact. (Consumer Cause, Inc. v. SmileCare, 91 Cal.App.4th at 468.)

Even if Neach met his initial burden, Pacheco raised a triable issue of material fact as to whether Neach had any involvement with the calculation of incentive compensation other than reviewing the calculation. (NMF No. 8; Pacheco Decl., ¶¶ 30 and 31.)

Accordingly, the motion for summary adjudication is denied.

Issue 2: Cross-Complainant’s Second Cause of Action for Fraud—Concealment has no merit because it is barred by the three-year statute of limitations.

There is no dispute the 3-year statute of limitations set forth in CCP section 338, subdivision (d) applies to this cause of action.

Pacheco’s second cause of action for fraud – concealment alleges Neach concealed his prior relationship with Magnuson and concealed the manner in which he handled the Law Firm’s finances, specifically the allocation of the Law Firm’s expenses to each partner. (Cross-Complaint, ¶¶ 86, 87, 90, and 91.) As discussed above, Neach did not address when Pacheco discovered Magnuson and Neach’s prior relationship and did not show this cause of action on this ground is time barred. In addition, Neach did not show the cause

	of action based on concealment of the Law Firm's finances is time barred. Even if Neach met his initial burden, Pacheco raised a triable issue of material fact as to whether Neach had any involvement with the calculation of incentive compensation other than reviewing the calculation after Icona took over calculating the incentive compensation. (NMF No. 8; Pacheco Decl., ¶¶ 30 and 31.) Accordingly, summary adjudication is denied. Issue 3: Cross-Complainant's Third Cause of Action for Conversion has no merit because it is barred by the three-year statute of limitations. There is no dispute Pacheco's third cause of action for conversion is governed by the 3-year statute of limitations set forth in Code of Civil Procedure section 338, subdivision (c)(2). Pacheco's third cause of action for conversion is based on Neach's allegedly improper allocation of the Law Firm's expenses. (Cross-Complaint, ¶¶ 98-102.) Neach did not show the cause of action is time barred. As discussed above, Neach presents no material fact showing when Pacheco knew or should have known about how the Law Firm's expenses were allocated. Even if Neach met his initial burden, Pacheco raised a triable issue of material fact as to whether Neach had any involvement with the calculation of incentive compensation other than reviewing the calculation after Icona took over calculating the incentive compensation. (NMF No. 8; Pacheco Decl., ¶¶ 30 and 31.) Accordingly, the motion for summary adjudication is denied.
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Issue 4: Cross-Complainant's Fourth Cause of Action for Receipt of Stolen Property (Penal Code section 496) has no merit because it is barred by the applicable statute of limitations.

The parties do not dispute Neach's contention that this cause of action is barred by the 1-year statute of limitations.

Pacheco's cross-complaint seeks both treble damages and attorneys' fees under section 496, subdivision (c), which provides as follows, "Any person who has been injured by a violation of subdivision (a) or (b) may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney's fees." (Pen. Code, § 496, subd. (c).)

CCP section 338, subdivision (a) sets forth a 3-year statute of limitations for an action "upon a liability created by statute, other than a penalty or forfeiture." (Code Civ. Proc., § 338, subd. (a).) CCP section 340, subdivision (a) provides for a 1-year statute of limitations for an action "upon a statute for a penalty or forfeiture, if the action is given to an individual, or to an individual and the state, except if the statute imposing it prescribes a different limitation." (Code Civ. Proc., § 340, subd. (a).)

"Claims based upon statutes which provide for mandatory recovery of damages additional to actual losses incurred, such as treble damages, are considered penal in nature, and thus are governed by the one-year limitations period under section 340, subdivision 1." (Menefee v. Ostawari (1991) 228 Cal.App.3d 239, 243.) "Case law has consistently applied the one-year limitations period to statutes that provide for recovery of